

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

ISAAC OSEI, *Claimant*

v.

HAADI SHIPPING & AUTO BODY WORKS, *Respondent*.

DOCKET NO. 2045(I)

Served: June 29, 2026

ORDER OF: Jamie L. Mendelson, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

Claimant Issac Osei initiated this proceeding by filing a small claims complaint (“Claim”), along with supporting documents, at the Federal Maritime Commission (“FMC” or “Commission”) against Respondent Haadi Shipping & Auto Body Works. The Claim alleges that Respondent violated 46 U.S.C. § 41102(c) and 46 C.F.R. Part 515 by engaging in unjust and unreasonable practices and by failing to meet its ocean transportation intermediary (“OTI”) duties and obligations, with respect to Claimant’s containerized shipment. Claimant seeks reparations in the amount of \$4,726 for fees incurred that Claimant alleges were caused by Respondent’s conduct. Respondent denies that it committed any violation and denies responsibility for the fees incurred.

As discussed in detail below, Claimant has failed to establish a violation and the Claim is **DENIED** and **DISMISSED**.

II. BACKGROUND

A. Procedural History

On January 28, 2026, the Office of the Secretary (“OS”) received the Claim for adjudication under the informal procedures of Subpart S of the Commission’s Rules of Practice and Procedure (“Rules”). *See* 46 C.F.R. §§ 502.301-502.305. On February 4, 2026, OS served a Notice of Filing of Small Claims Complaint and Assignment (“Notice”) and a copy of the Claim on Respondent, instructing Respondent to file a response.

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

On March 7, 2026, Respondent submitted its response to the Claim (“Response”). In its Response, Respondent consents to the Commission’s informal procedure for adjudication of small claims.

On April 8, 2026, the Chief Administrative Law Judge issued a notice appointing the undersigned to serve as the Small Claims Officer for this proceeding.

On April 10, 2026, a Request for Information (“RFI”) was issued to the parties pursuant to Rule 304(a) and (e). On April 24, 2026, Claimant submitted a response to the RFI. (“C. RFI Resp.”). Respondent did not submit a substantive response by the deadline. On May 5, 2026, an Order to Show Cause was issued to Respondent, ordering Respondent to provide a response to the RFI or to show cause why an adverse inference should not be drawn against Respondent for the failure to respond. On May 19, 2026, Respondent sent an email with attachments, with a message indicating it was only a partial response to the RFI and stating, “[I] will send you the rest in the coming days.” (“R. RFI Resp.”). As of the date of this Initial Decision, Respondent has not provided any additional response.

B. Argument of the Parties

1. Claimant

Claimant contracted directly with Respondent to provide OTI services for Claimant’s containerized shipment of household goods and vehicles from the Port of Long Beach, California to Tema, Ghana. (Claim at ¶ I & Ex. F). Claimant paid Respondent a \$2,000 deposit with instructions to book the shipment with the ocean common carrier Maersk. (Claim at ¶ III.C; C. RFI Resp. at p. 8). However, without Claimant’s knowledge or consent, Respondent “subcontracted” the booking to a third-party entity, Oceane Marine Shipping, Inc. (“OMS”), who booked the shipment with the ocean common carrier Mediterranean Shipping Company (“MSC”). (Claim at ¶¶ III.A, III.C). MSC’s bill of lading (“BOL”) for the shipment listed OMS as the shipper, which deprived Claimant “of access to shipment information, carrier communications, and operational control.” (Claim at ¶ III.D & Ex. B).

Claimant further alleges that, despite providing Respondent with a detailed cargo inventory, Respondent filed export documentation that generically described the shipment as “household goods.” (Claim at ¶ III.F). Additionally, Respondent instructed Claimant to provide copies of the vehicle titles rather than the original title documents, and Claimant avers “it is reasonable to conclude that Respondent may not have complied with the regulatory requirement for original title submission.” (Claim at ¶ III.G; C. RFI Resp. at p. 12). Claimant believes that Respondent’s “vague cargo description” in the export documentation, and the possibility that Respondent may not have presented the original vehicle titles, “increased the likelihood of [U.S. Customs and Border Patrol (“CBP”)] scrutiny” and may have been the reason why CBP decided to inspect the container, which resulted in \$3,154 in inspection fees. (C. RFI Resp. at pp. 12-13; Claim at ¶ VI). Also as a result of the CBP inspection, the shipment was delayed and the container remained at the terminal beyond the allotted free time, causing demurrage fees totaling \$1,357. (C. RFI Resp. at p. 13; Claim at ¶ VI). However, Claimant “acknowledges that CBP does not routinely disclose the specific basis for inspection decisions.” (C. RFI Resp. at p. 12).

Finally, Claimant alleges that Respondent withheld the original BOL, due to “payment issues between Respondent and its subcontractor/ocean carrier,” which resulted in a nearly two-week delay in releasing the shipment at the port of destination. (Claim at ¶ III.B). This delay resulted in Ghana customs authorities imposing an administrative fee of “2,578.42 Ghana cedis equivalent of \$215.” (C. RFI Resp. at pp. 13-15).

Claimant avers that Respondent’s conduct violated 46 U.S.C. § 41102(c) and 46 C.F.R. Part 515 by engaging in unjust and unreasonable practices, and by failing to meet OTI duties and obligations, with respect to Claimant’s containerized shipment. Claimant seeks reparations in the amount of \$4,726 for the CBP inspection fees, U.S. terminal demurrage fees, and Ghana customs fee, that were the result of Respondent’s conduct.

2. Respondent

In response, Respondent admits that Claimant contracted directly with Respondent for OTI services, and Respondent admits that it is a licensed non-vessel operating common carrier (“NVOCC”). (Response at ¶¶ I-II). Respondent asserts OMS is a freight forwarder that “is more like a partner company to us” and that it is a “common and lawful practice for an Ocean Transportation Intermediary to coordinate services with ocean carriers and logistics partners in order to facilitate international shipments.” (Response at ¶¶ III.A, III.D). OMS provided “a better rate” for the shipment and the shipment was booked with the ocean carrier MSC “because it provided a cheaper rate.” (Response at ¶¶ III.C-III.D). OMS “acted solely as the contract holder with the ocean carrier and did not independently generate or control the shipment documentation.” (Response at ¶ III.E). Respondent prepared and processed the shipping information and documentation, and Respondent denies that Claimant was deprived of shipment visibility, decision-making, or exporter control. (Response at ¶ III.E).

According to Respondent, Claimant did not provide a detailed inventory or itemized list of the household goods included in the shipment, and thus Respondent was unable to provide a more specific description in the export documentation. (Response at ¶ III.F). Additionally, Respondent properly submitted the vehicle titles to CBP in accordance with applicable export procedures. (Response at ¶ III.G). The government inspection was solely within the authority and discretion of CBP and outside the control of Respondent. (Response at ¶ III.G). Respondent denies that its actions caused the CBP inspection, and denies responsibility for the resulting inspection and demurrage fees. (Response at ¶¶ III.H-III.I).

Respondent also denies that it withheld the original BOL, but does admit that there was a delay in releasing the shipment at the port of destination that was caused by OMS “not sending the Telex Release to Respondent.” (Response at ¶ III.B). While Respondent denies responsibility for the charges assessed by third parties due to the CBP inspection and the demurrage fees, “Respondent will be willing to pay Claimant an amount both Claim[ant] and Respondent agree to for an inconvenience because of the delay and release of Telex.” (Response at ¶¶ III.I, VI).²

² While Respondent avers it would be willing to pay an agreed upon amount for Claimant’s inconvenience, Claimant states that no agreement has been reached. (C. RFI Resp. at p. 15).

III. FINDINGS OF FACT (“FF”)

1. Claimant, Isaac Osei, is an individual and the owner and exporter of the cargo at issue. (Claim at ¶ I).
2. Respondent is a corporation incorporated in the State of California, with a principal place business in Los Angeles, California. (Claim at ¶ II; Response at ¶ II). Respondent is a licensed non-vessel operating common carrier (“NVOCC”) with FMC license number 028605. (*Id.*; see also <https://www2.fmc.gov/oti/NVOCC.aspx> (last visited Jun. 23, 2026)).
3. Claimant verbally contracted with Respondent to provide ocean transportation intermediary (“OTI”) services for the export of a containerized shipment of household goods and vehicles from the Port of Los Angeles/Long Beach, California to Tema, Ghana. (Claim at ¶ I, Ex. F; Response at ¶ I). The parties did not have a written agreement. (C. RFI Resp. at p. 9).
4. On May 14, 2025, Claimant paid a \$2,000 deposit to Respondent for the shipment. (C. RFI Resp. at p. 7).
5. Respondent used the services of Oceane Marine Shipping, Inc. (“OMS”), a freight forwarder, to book the shipment. (Claim at ¶ III.A; Response at ¶¶ III.A, III.C, III.D). OMS is a licensed ocean freight forwarder with FMC license number 014795. (See <https://www2.fmc.gov/oti/FF.aspx> (last visited Jun. 23, 2026)).
6. The record contains a booking confirmation dated May 23, 2025, from OMS addressed to Respondent. (Response at p. 13). The booking confirmation reflects a booking number EBKG12695935; booking date of May 2, 2025; MSC USA as the carrier; Los Angeles, California as the port of departure; Tema, Ghana as the port of destination; and June 5, 2025, as the estimated ship date. (*Id.*).
7. On May 31, 2025, Claimant delivered the cargo to Respondent and loaded it onto a container. (C. RFI Resp. at p. 7).
8. On May 31, 2025, Claimant emailed Respondent a Cargo Inventory form for the cargo. (C. RFI Resp. at pp. 11, 34; Claim at Ex. F). The Cargo Inventory form provides a “Category” and “Item Description” for each line item. (Claim at Ex. F). For example, the first item on the Cargo Inventory reflects a “Category” of “HHG-Electricals” and an “Item Description” of “100 Amp main panel.” (*Id.*).
9. The record contains Respondent’s Dock Receipt for booking number EBKG12695935, dated June 2, 2025. (Response at p. 15). Claimant is listed as the “Shipper” and the Dock Receipt has a signature of an individual “on behalf of Shipper.” (*Id.*). The dock receipt reflects that the cargo was loaded on container number MEDU8987022 at the Port of Long Beach. (*Id.*). The dock receipt also lists the “Consignee” as “Abraham Offeh Gyimah” with an address in Tema, Ghana. (*Id.*).

10. The record also contains OMS's Dock Receipt for booking number EBKG12695935. (Response at p. 17). The Dock Receipt is not dated, but lists a "Sailing" date of June 12, 2025. (*Id.*). The OMS Dock Receipt lists Claimant as the "Exporter" and reflects that the cargo was loaded on container number MEDU8987022 at the Port of Los Angeles. (*Id.*). The dock receipt lists the "Consignee" as "Abraham Offeh Gyimah" with an address in Tema, Ghana. (*Id.*). The Dock receipt also reflects an "AES ITN" (Automated Export System Internal Transaction Number) X20250602718385. (*Id.*).
11. The record contains a Draft Bill of Lading ("BOL") from Mediterranean Shipping Company S.A. ("MSC") for booking number EBKG12695935. (Response at pp. 19-21). The Draft BOL lists OMS as the "Shipper" and reflects that the cargo was loaded on container number MEDU8987022. (*Id.*). The Draft BOL also lists the "Consignee" as "Abraham Offeh Gyimah" with an address in Tema, Ghana. (*Id.*).
12. The record includes a U.S. Customs and Border Protection ("CBP") form titled "Cover Letter, Vehicle Information" listing the two vehicles included in Claimant's shipment, along with the title for each vehicle. (Response at pp. 27-31). The CBP form refers to Booking # EBKG12695935 and ITN # X20250602718385. (*Id.*).
13. The record includes an email dated June 2, 2025, from CBPDOCSREQUIRED@cbp.dhs.gov regarding the vehicle title certificates for "ITN X20250602718385." (R. RFI Resp. at Attch. "EBKG12695935- MEDU8987022"). The email message states: "CBP has determined the document submitted as authentic. This response may be used along with a copy of the EEI information to the importing country as proof the vehicle was exported from the United States of America legally." (*Id.*).
14. On June 16, 2025, container MEDU8987022 was transferred from the container terminal in Los Angeles to Price Transfer, Inc., an exam facility, for a CBP inspection. (C. RFI Resp. at pp. 7, 24, 26-27).
15. On June 24, 2025, CBP released the exam hold on container MEDU898702. (C. RFI Resp. at p. 27).
16. The record includes a Price Transfer, Inc. "Guarantee of Exam Charges" invoice for container MEDU898702. (C. RFI Resp. at p. 26). The exam charges totaled \$3,153.60. (*Id.*). Claimant signed the invoice, accepting responsibility for the charges, on June 26, 2025. (*Id.*).
17. On June 26, 2025, Claimant paid all invoiced exam charges to Price Transfer. (Claim at Ex. C).
18. On June 27, 2025, container MEDU898702 was transferred out of the Price Transfer exam facility back to the container terminal in Los Angeles. (C. RFI Resp. at p. 23).
19. Container MEDU898702 was loaded onto the MSC vessel at the port of Los Angeles on July 3, 2025. (C. RFI Resp. at p. 23).

20. On or about August 2, 2026, Claimant paid \$1,357.00 in “Demurrage Detention Charges” for fees the container incurred at the terminal from June 16, 2025, to July 3, 2025. (C. RFI Resp. at pp. 8, 63-66).
21. On September 11, 2025, the container arrived at the port of destination in Tema, Ghana. (C. RFI Resp. at pp. 9, 23).
22. On September 11, 2025, Claimant messaged Respondent, “The vessel is here and my container is discharged from the vessel. Can you have the telex release sent asap?” (C. RFI Resp. at p. 43). On the same date, Respondent replied, “Will do.” (*Id.*).
23. On September 12, 2025, Claimant messaged Respondent, “I am following up on the telex release. Any update?” (C. RFI Resp. at p. 43). On September 24, 2025, Respondent replied, “sorry for the delayed [sic] that I may have cause [sic]. I believe we will get it today according to ocean marine.” (*Id.*).
24. The telex release for container MEDU898702 was issued on September 25, 2025. (C. RFI Resp. at pp. 30-31).
25. On September 30, 2025, Ghana customs authorities issued a “Tax Bill (Penalty)” for “Interest Charges” in the amount of 2,578.42 GHS (Ghanaian Cedi) to Abraham Offeh Gyima, the consignee of the shipment. (C. RFI Resp. at pp. 14-15, 67). Based on the exchange rate on September 30, 2025, the charge was an equivalent of \$207.96 in U.S. Dollars. (See <https://fxtop.com/en/historical-currency-converter.php> (last visited Jun. 23, 2026); 46 C.F.R. § 502.226).

IV. ANALYSIS

A. Jurisdiction

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has exclusive jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *11 (FMC May 10, 2006); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000). While FMC maintains jurisdiction over claims arising out of violations of the Shipping Act, common law claims rooted in contract lie exclusively with the courts. *Bimsha Int'l v. Chief Cargo Serv., Inc. and Kaiser Apparel, Inc.*, Docket No. 10-08, 2013 WL 9808692, at *1 (FMC Sept. 4, 2013); *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Docket No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (noting that claims alleging breach of contract violations are not properly before the Commission).

B. Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203.

A person alleging a Shipping Act violation, therefore, bears the burden of proof to demonstrate its allegations by a preponderance of the evidence. 46 C.F.R. § 502.203; 5 U.S.C. 556(d); *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC Jun. 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Dir., Off. of Workers' Comp. Programs, Dept't of Lab. v. Greenwich Collieries*, 512 U.S. 267, 281 (1994).

C. Alleged Violations

Claimant alleges that Respondent's conduct violated 46 U.S.C. § 41102(c) by engaging in an unjust or unreasonable practice in connection with the shipment. The section 41102(c) claim is cognizable pursuant to 46 U.S.C. § 41301(a).

Claimant also alleges that Respondent violated the "duties imposed on licensed Ocean Transportation Intermediaries under 46 C.F.R. Part 515." Specifically, Claimant cites to 46 C.F.R. §§ 515.31(a) and 515.32(a). The provisions Claimant cites to set forth the regulatory duties of licensed OTIs and freight forwarders.³ While failure to follow these provisions "may result in denial, revocation or suspension of an ocean transportation intermediary license or registration," 46 C.F.R. § 515.1(b), these provisions on their own do not create a cognizable claim of a violation of the Shipping Act. *See* 46 U.S.C. § 41301(a).⁴

D. Section 41102(c) – Unjust or Unreasonable Practice

Section 41102(c) of the Shipping Act states that a "common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c). The elements of a section 41102(c) claim are that:

- (1) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (2) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;

³ 46 C.F.R. § 515.32(a) applies to a licensed freight forwarder. It does not apply to Respondent, as a licensed NVOCC.

⁴ To the extent an OTI's conduct violated the regulatory duties imposed on licensed OTIs, such evidence would be relevant in determining whether the OTI's practices were "unjust" or "unreasonable," which is an element of a 46 U.S.C. § 41102(c) claim.

- (3) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (4) The practice or regulation is unjust or unreasonable; and
- (5) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

1. Normal, customary, and continuous basis

With respect to the second element—that the “claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis”—the Commission has explained that “[s]ection 41102(c) was never intended to be a method of resolving every dispute that arises in the receiving, handling, storing or delivering of cargo.” *Interpretive Rule, Shipping Act of 1984*, 83 FED. REG. 64478, 64479 (Dec. 17, 2018). “[F]inding a violation based on a single act or omission, is inconsistent with the original intent of Congress, the rules of statutory construction, and Commission precedent.” *Ngobros and Co. Nigeria v. Ocean Cargo Link, LLC.*, Docket No. 14-15, 2019 WL 7631708, at *3 (FMC Dec. 17, 2019). Instead, the Commission has clarified that a violation of section 41102(c) requires a showing that “the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” 83 FED. REG. 64479. “Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice.” *Crocus Inv. ’s, LLC v. Marine Transp. Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021). The types of business practices appropriately adjudicated under section 41102(c) involve practices that “negatively affect the broader shipping public.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 4554718, at *18 (FMC Sept. 29, 2012). The Commission recognizes that this interpretation may limit the types of claims that may be brought before the Commission, but has determined this interpretation aligns more closely with the purpose of the Shipping Act. Traditional legal venues to adjudicate contract law, agency law or admiralty law would continue to be available to parties injured by a discrete instance of unreasonable and unjust conduct. *See Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 FED. REG. 45367 (Sept. 8, 2018).

Claimant concedes that the Claim relies solely on Respondent’s conduct with respect to the one shipment at issue. (C. RFI Resp. at 5). However, Claimant contends that the “normal, customary, and continuous basis” requirement is met, as established by the “repeated and coordinated course of conduct within the lifecycle of the shipment at issue, reflecting a consistent method of operation rather than a single isolated act.” (C. RFI Resp. at p. 5). Claimant contends that Respondent engaged in misconduct “at multiple distinct stages of the transaction.” (*Id.*). There is some support for Claimant’s argument based on past decisions which found that a “litany of misconduct” with respect to a single shipment established a pattern or practice. *See Adair v. Penn-Nordic Lines, Inc.*, Docket No. 1695(F), 1991 WL 383091 (ALJ Sep. 18, 1991) (finding the “litany of misconduct” of the NVOCC in handling a motorcycle shipment established an unreasonable practice in violation of the Shipping Act); *Symington v. Euro Car Transp., Inc.*, Docket No. 92-47, 1993 WL 113704, at *4 (ALJ Mar. 17, 1993) (finding an unfair practice in relation to a single shipment where the respondent took the complainant’s money but

failed to carry out its obligations); *Panalpina Inc. v. Eastern Mediterranean Shipping Corp.*, Docket No. 98-12, 1998 WL 940271, at *2 (ALJ Sep. 21, 1998) (finding an unfair practice in relation to a single shipment where the carrier failed to respond to repeated request for status updates and caused the complainant to expend additional money to ensure delivery of the cargo); *see also Ian Mills v. Crowley Logistics, Inc.*, Docket No. 1995(F), 2025 WL 843346, at *14 (ALJ Mar. 13, 2025) (following *Adair*, *Symington*, and *Panalpina* to find an unfair practice with respect to a single shipment).

However, this notion was rejected by the Commission when it adopted its Interpretive Rule at 46 C.F.R. § 545.4. In the *Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984*, 83 FED. REG. 45367 (Sep. 8, 2018), the Commission explained:

... [T]he Commission has held in a line of recent cases that discrete conduct with respect to a particular shipment, if determined to be unjust or unreasonable, represents a violation of § 41102(c), regardless of whether that conduct represents a respondent's *practice* or regulation. These decisions diverge from consistent Commission precedent dating back to 1935 and reaffirmed as recently as 2001 which required that a regulated entity must engage in a practice or regulation on a *normal, customary, and continuous* basis in order to be found to have violated § 41102(c) of the Shipping Act.

Id. (emphasis in original). The purpose of the Interpretative Rule—returning the scope of section 41102(c) to practices occurring on a “normal, customary, and continuous basis”—“return[ed] the Commission’s focus and priorities to the activities of maritime regulated entities that negatively affect the broader shipping public.” *Id.* at 45367, 45368.

Here, the section 41102(c) claim fails because the conduct Claimant alleges was isolated to a single shipment by a single shipper. While the conduct did not extend to “the broader shipping public” and is thus not within the proper scope of section 41102(c), Claimant is not without other avenues of remedy. As the Commission explained, “Claimants ... have full and adequate remedies under numerous legal proscriptions including common law, state statutes, admiralty law, and other federal statutes. Such claims should be presented to proper courts of common pleas.” *Id.* at 45372.

2. Proximate Cause of Claimed Loss

Moreover, the section 41102(c) claim fails because Claimant has not shown that Respondent’s conduct was the proximate cause of the alleged losses incurred by Claimant.

Claimant alleges losses in the form of the CBP inspection fees, demurrage fees, and the Ghana interest charge. While Claimant makes numerous allegations regarding Respondent’s conduct, only some of that conduct is alleged to have caused these losses. Specifically, Claimant alleges that Respondent’s failure to provide a detailed cargo inventory and original vehicle titles as part of the export documentation resulted in CBP inspecting the cargo, which in turn resulted in the inspection fees and demurrage charges for the resulting delay at the terminal. Claimant also alleges that Respondent failed to provide the original BOL, resulting in a delay in the container’s release at the port of destination, which in turn resulted in the Ghana interest charge. While Claimant makes other allegations—such as Respondent failing to disclose the use of OMS for booking, booking the shipment on a different ocean carrier than the one Claimant requested,

and “improperly” listing OMS as the shipper on the BOL without Claimant’s consent—there is no indication that this conduct caused the losses Claimant alleges.

There is simply no evidence that any of the alleged conduct was the proximate cause of the CBP inspection, which resulted in the inspection fees and demurrage charges at issue. Claimant himself concedes, “CBP does not routinely disclose the specific basis for inspection decisions” and the record provides no indication as to the basis for the inspection. (C. RFI Resp. at p. 13). Claimant is no more than speculating that the export documentation *may* “have increased the likelihood of inspection.” (*Id.*). Mere speculation is insufficient to establish proximate cause of the claimed loss by a preponderance of the evidence.

Moreover, while Respondent does admit that there was a delay in releasing the shipment at the port of destination, and Claimant alleges that the delay resulted in the Ghana “Interest Charge” of the equivalent of \$207.96, the record is not clear that Claimant in fact suffered the pecuniary loss. (Claim at ¶ VI; Response at ¶ III.B; C. RFI Resp. at pp. 14-15, 67). The RFI requested that Claimant, “Provide the invoice and proof of payment for the ‘Interest Charges (Ghana)’ at issue, and an explanation of how Respondent’s alleged conduct caused the charges.” (RFI at C. Req. No. 12). In response, Claimant declares that the Ghana “Interest Charge” was “imposed by customs authorities in Tema, Ghana, and function similarly to demurrage.” (C. RFI Resp. at p. 14). According to Claimant, the delay in the telex release for the cargo “result[ed] in the accrual of the charges identified as ‘Interest Charges’” in the invoice. (C. RFI Resp. at pp. 14-15). Claimant produced a copy of the invoice, which was issued to the consignee of the shipment, Abraham Offeh Gyimah. (C. RFI Resp. at p. 67). Despite the request for “proof of payment,” Claimant did not provide proof that payment was made. Because the invoice was issued to the consignee, not Claimant, and Claimant has not provided proof of payment, Claimant has not established a pecuniary loss. *See Bimsha Int’l v. Chief Cargo Svcs., Inc.*, Docket No. 10-08, 2011 WL 7144011, at *28 (ALJ Dec. 14, 2011) (complainant had the burden of proving entitlement to reparations); *James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, 30 S.R.R. 8, 13 (2003) (“As the Federal Maritime Board explained long ago: ‘(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.’”) (citation omitted).

V. CONCLUSION

It is hereby **ORDERED** that the Claim is **DENIED** and **DISMISSED**.

SO ORDERED

Jamie L.
Mendelson -S

Digitally signed by
Jamie L.
Mendelson -S

Jamie L. Mendelson
Small Claims Officer